

left over after building and updating the bond ladder. An initial stock allocation of 50 percent could easily rise above 90 percent if the growth portfolio performs well, and it could fall to 0 percent with poor growth leading all available assets used to maintain a bond ladder until it depletes as well.

To the extent that time segmentation does not call for portions of a bond ladder to be sold in order to rebalance funds into the growth portfolio, time segmentation can only have one possible direction for portfolio rebalancing: extend the bond ladder with funds from the growth portfolio. Time segmentation provides a way to reallocate funds from stocks to bonds, by moving assets from the growth portfolio to the bond ladder. It does not provide a mechanism to move in the other direction. The only mechanism available to shift toward an increasing stock allocation is to simply avoid extending the bond ladder over time; maturing bonds are spent and are not replaced.

Dramatically fluctuating asset allocations may make retirees uncomfortable. Nonetheless, Huxley and Burns are critical of traditional asset allocation, because other than saying that risk-tolerant individuals can hold more stocks, there is no clear way to decide on the appropriate allocation between stocks and bonds. They reject the usefulness of risk tolerance questionnaires commonly used in practice. With asset allocation, they argue, bond funds are treated as “stocks-lite,” in which a volatile bond mutual fund is held that still fluctuates in value, just to a lesser degree than stocks. Huxley and Burns criticize bond mutual funds for behaving as equities but with lower returns and volatility in a retirement portfolio. Given bond funds’ volatility, it is hard to explain to retirees why their asset allocation should be 60/40 rather than 50/50 or 70/30. The traditional asset allocation approach is tied up too much in a single-period framework that abstracts from an investor’s goal to build a nest egg that will allow for desired spending amounts for as long as retirement lasts. Risk, in their understanding, is not being able to meet retirement goals, rather than simple measures of portfolio volatility.

The time segmentation approach to asset allocation can lead to a much more dynamic asset allocation over time. The bond allocation is determined in terms of the monetary cost of building the desired bond ladder, rather than trying to keep the overall portfolio at a fixed percentage of bonds. Bonds